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LUXURY

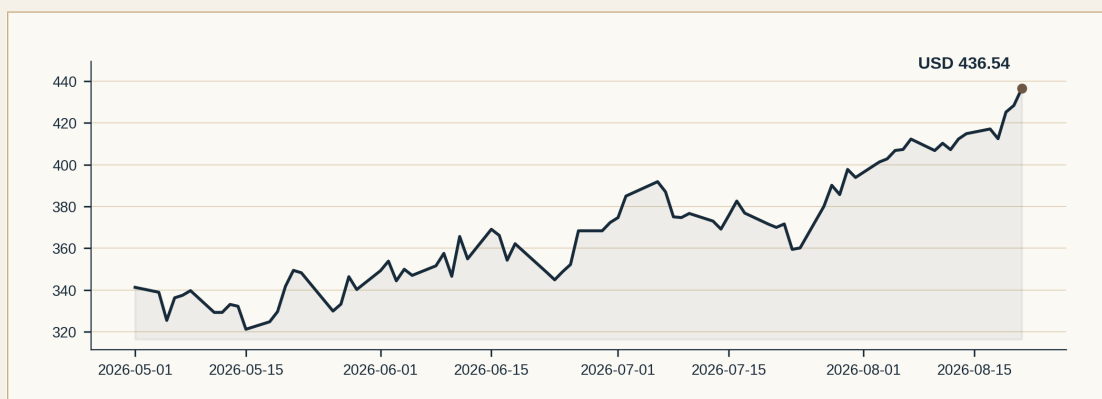
FERRARI

Ferrari N.V.

NYSE: RACE · Borsa Italiana (EXM): RACE · Maranello, Italy

USD 436.54

Closing price, 21 August 2026 (latest completed trading session)



RACE share price, daily close, 1 May 2026 – 21 August 2026 (USD). Source: Alpha Vantage, NYSE consolidated tape.

REPORT DATE
23 August 2026

ANALYST
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SERIES
Luxury

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Executive Summary

Business

Ferrari designs, engineers and manufactures ultra-luxury, high-performance sports cars in Maranello, Italy, selling through an exclusivity model that deliberately caps annual shipments below observable demand; the order book for new models extends toward the end of 2027. Revenue is generated across three connected activities: sports cars and spare parts (84.0 percent of FY2025 net revenue), sponsorship, commercial and brand income tied chiefly to Scuderia Ferrari's Formula 1 and endurance-racing programmes (11.5 percent), and other activities including financial services and lifestyle licensing (4.5 percent). Customers are ultra-high-net-worth individuals and collectors across more than 60 markets, with EMEA (46.5 percent of FY2025 shipments), the Americas (28.9 percent), and Asia-Pacific including Greater China (24.6 percent combined) as the principal geographic bases.

Financial Condition

FY2025 net revenue reached EUR 7,146 million, up 7 percent year on year (8 percent at constant currency), on shipments that were essentially flat at 13,640 units. EBITDA was EUR 2,772 million (38.8 percent margin) and EBIT was EUR 2,110 million (29.5 percent margin, up 120 basis points), with net profit of EUR 1,600 million and diluted EPS of EUR 8.96. Operating cash flow was EUR 2,352 million against capital expenditure of EUR 943 million, yielding free cash flow of EUR 1,409 million and the company's preferred non-GAAP measure, industrial free cash flow, of EUR 1,538 million, up 50 percent year on year. Net industrial debt stood at a nominal EUR 32 million at 31 December 2025, effectively a balance-sheet at breakeven leverage against EBITDA of EUR 2.77 billion.

Market Position

Ferrari's closest points of competitive reference are Porsche AG, Lamborghini (Volkswagen Group), Aston Martin, Bentley and Rolls-Royce (BMW Group) at the high-performance and ultra-luxury end of the automotive market, and Hermes and LVMH as capital-markets comparables for scarcity-based luxury economics. Ferrari's FY2025 EBIT margin of 29.5 percent is the highest of any listed automaker and exceeds every automotive peer by a wide margin, though it remains below Hermes's 41.8 percent operating margin, reflecting the latter's even narrower supply constraints in leather goods. The principal competitive advantage is a self-reinforcing scarcity model: capped volumes, an order book extending into 2027, and a personalization programme that lifts average selling prices without requiring unit growth. The principal competitive weakness is product concentration: 84 percent of revenue depends on a single, high-consideration product category (sports cars) sold to a narrow global client base whose behaviour has historically tracked broader luxury-spending cycles.

Valuation

At the 21 August 2026 close of USD 436.54, Ferrari's market capitalisation was approximately USD 76.7 billion (EUR 65.7 billion at the prevailing EUR/USD rate of 1.1687). The stock traded at a trailing price/earnings ratio of 40.3x and a forward P/E of 37.7x, versus an EV/EBITDA of 23.6x and a price/sales ratio of 10.4x, all sourced from Alpha Vantage and cross-checked against company-reported EUR financials. These multiples sit well above Porsche AG (17.4x P/E, 5.8x EV/EBITDA) and LVMH (20.2x P/E, 10.5x EV/EBITDA), and are broadly in line with, though still below, Hermes (36.6x P/E, 20.7x EV/EBITDA).

Investment Framework

WHAT IS ATTRACTIVE	An order book extending to late 2027, industry-leading margins, near-zero net industrial debt, a EUR ~9.0 billion 2030 revenue target built primarily on price and mix rather than volume, and a EUR ~7.0 billion 2026-2030 shareholder remuneration plan.
WHAT IS CONCERNING	Revenue concentration in a single product category, a 19 percent year-on-year decline in Greater China shipments in FY2025, an unproven demand response to the first fully electric model (Elettrica, from October 2026) priced above EUR 500,000, and a valuation multiple near the top of the luxury-goods complex.
WHAT MUST GO RIGHT	The 2025-2026 model changeover must sustain personalization-driven average selling prices as older nameplates are phased out; the Elettrica launch must not damage brand equity; tariff and currency headwinds must remain absorbable through pricing power.
WHAT COULD BREAK THE THESIS	A sustained contraction in ultra-high-net-worth demand, a stumble in the electrification strategy that erodes the brand's performance identity, or a shift in the order book that signals waiting lists are no longer binding.
WHAT APPEARS PRICED IN	A base-case discounted cash flow analysis in Section C5 indicates that, under conventional discount-rate and terminal-growth assumptions, the current enterprise value implies either a terminal growth rate near 4.8 percent or a discount rate near 4.9 percent — both materially more optimistic than standard long-run assumptions for an industrial company, indicating the market is pricing a durable scarcity premium rather than a conventional cash-flow annuity.

Investment Profile

Dimension	Assessment
Business quality	High — scarcity-based pricing power evidenced by a five-year EBIT margin expansion from 25.1 percent (2021) to 29.5 percent (2025) despite near-flat unit volumes.
Financial quality	High — net industrial debt of EUR 32 million against EBITDA of EUR 2.77 billion; free cash flow conversion above 60 percent of EBITDA in FY2025.
Competitive position	Very strong within ultra-luxury sports cars; order book depth and personalization economics are not readily replicable by volume-oriented automakers.
Growth profile	Moderate and deliberately volume-constrained; company-guided 2025-2030 revenue CAGR of approximately 5 percent, driven by mix and price rather than units.
Balance-sheet risk	Low — consolidated net debt of EUR 1.4 billion is concentrated in the captive financial-services unit and is asset-backed by customer receivables.
Valuation	Rich relative to automotive peers and in the upper half of the global luxury-goods complex; priced for sustained premiumization.
Market and technical profile	Low beta (0.595) with a 52-week range of USD 308.95 to USD 498.74; price trades above both the 50-day and 200-day moving averages as of the report date.

A. About the Business

A1. Business Environment

Ferrari competes in the ultra-luxury sports car segment, a narrow tier of the broader automotive industry defined less by transportation utility than by scarcity, craftsmanship, brand heritage and emotional engagement. Independent market research places the global luxury sports car market at approximately USD 47.3 billion in 2025, with providers projecting growth toward USD 89.6 billion by 2034, a compound annual growth rate near 7.4 percent (Sourced: third-party market-research estimate; figures of this type vary materially by provider and should be read as directional rather than precise). The segment sits above mainstream premium marques (BMW M, Mercedes-AMG, Audi Sport) and below true hypercar boutiques (Bugatti, Koenigsegg, Pagani), competing for a client base whose purchasing decisions are driven by exclusivity and collectability as much as by performance specification.

Value in this industry is created through engineering and racing pedigree and captured through deliberate supply restriction: unlike the mass-market automotive industry, where scale and utilisation drive unit economics, ultra-luxury manufacturers protect residual values and pricing power by shipping fewer cars than the market would absorb at prevailing prices. Industrial economics differ from mainstream auto manufacturing in three respects: capital intensity per unit is high (bespoke engineering, small-batch assembly, in-house engine production) but is recovered through very high average selling prices and rich personalization attach rates; working capital is partially pre-funded by customer deposits against a multi-year order book; and the industry carries meaningfully lower demand elasticity to interest rates and fuel prices than mainstream autos, though it remains exposed to swings in aggregate wealth and equity-market sentiment among high-net-worth buyers.

Reasoned: the industry is best classified as mature but structurally re-forming around electrification. Volumes and client demographics are stable and well understood after decades of operating history, but every incumbent is simultaneously re-engineering its powertrain technology and brand narrative for a battery-electric and hybrid future, a transition that is still unresolved and carries real execution risk, as illustrated by Porsche AG's 2025-2026 profit warnings tied to its own electrification pivot (Sourced: company and press reporting, Section A4).

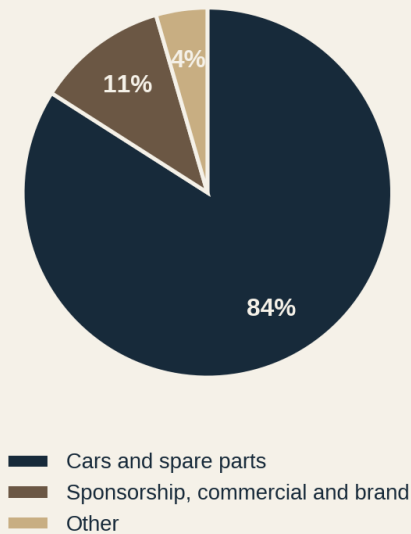
A2. What Does the Company Do?

Ferrari operates three connected activities. Sports cars and spare parts is the core engine: the company designs, engineers and hand-assembles front- and mid-engine V8, V12 and hybrid sports cars, plus the Purosangue four-door, in Maranello, generating EUR 6,005 million of FY2025 revenue (84.0 percent of the total, up nearly 5 percent). Within this line, personalization — bespoke paint, interior, carbon-fibre and performance options sold through the Tailor Made and Atelier programmes — is a critical and growing driver of average selling price uplift without incremental unit volume. Racing and brand activities generated EUR 820 million (11.5 percent, up 22 percent), comprising Scuderia Ferrari's Formula 1 sponsorship and commercial revenue-sharing (boosted in FY2025 by an improved 2024 championship finish), the FIA World Endurance Championship programme (in which the 499P Hypercar won both the 2025 Manufacturers' and Drivers' titles), and brand licensing, merchandising and lifestyle collections. Other activities, EUR 321 million (4.5 percent, up 15 percent), include Ferrari Financial Services (dealer and client financing), the Mugello racetrack, and engine-related activities.

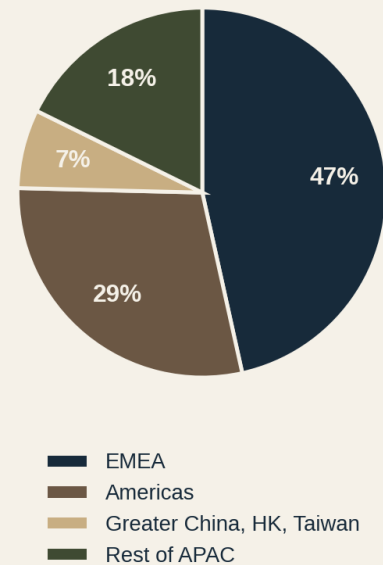
The operating model can be summarised as: ultra-high-net-worth customer places an order (often years in advance, given the order book extends to late 2027) and pre-funds a portion of the purchase through deposits; Ferrari engineers and hand-builds the car in Maranello, layering in personalization revenue at high incremental margin; the car is delivered through an authorised dealer network; racing and brand activities monetise the halo effect independently of the car sale; and the resulting operating profit is allocated between reinvestment in next-generation platforms (capital expenditure and capitalized development costs of roughly EUR 1.0-1.4 billion per year, including racing and electrification programmes) and shareholder distributions (dividends plus a multi-year share buyback programme).

Figure A2.1 — Net revenue by source, FY2025

Net revenue by source, FY2025



Shipments by region, FY2025



Calculated from company-reported segment data. Source: Ferrari N.V., Form 6-K, full-year 2025 results press release (10 February 2026), SEC EDGAR.

A3. Business and Relationship Network

Ferrari's economic network centres on Maranello, where the company controls engine design and final assembly in-house, a degree of vertical integration unusual among low-volume manufacturers and a structural source of quality control and margin capture. Key relationships include: a global network of authorised dealers who manage client relationships and the collector resale market that underpins residual values; Scuderia Ferrari's Formula 1 partners and sponsors, whose commercial agreements flow through the racing and brand revenue line; the FIA and championship organisers governing the regulatory and competitive framework for its racing programmes; Ferrari Financial Services, a captive finance arm that funds client and dealer purchases and carries the bulk of the group's consolidated (non-industrial) debt; and majority shareholders Exor N.V. (the Agnelli-Elkann family holding company, which also controls Stellantis and Juventus) and Piero Ferrari, both of which hold loyalty voting shares that concentrate governance influence and materially reduce the probability of a change-of-control transaction.

A4. Competition

Ferrari's most economically relevant competitors are those contesting the same pool of ultra-high-net-worth capital and the same waiting-list-driven purchase decision, not every company classified under automobile manufacturing.

COMPETITIVE COMPARISON — ULTRA-LUXURY AND HIGH-PERFORMANCE SPORTS CARS

Company	Ownership	Primary product	Scale (FY2025 context)	Advantage	Disadvantage
Ferrari	Listed (NYSE/ EXM: RACE)	Sports cars, racing, lifestyle	13,640 units; EUR 7.1bn revenue; 29.5% EBIT margin	Deepest order book, in-house engines, F1 halo, highest segment margin	Single-category revenue concentration; unproven BEV demand

Company	Ownership	Primary product	Scale (FY2025 context)	Advantage	Disadvantage
Porsche AG	Majority-owned by Volkswagen Group / Porsche SE	Sports cars and SUVs (higher volume)	>300,000 units/yr; EUR 38.8bn revenue; 10.3% operating margin	Broader model range, deep engineering resources, strong brand	Volume/mass-premium positioning dilutes scarcity; 2025-2026 profit warnings tied to EV transition and China
Lamborghini	Volkswagen Group (Audi)	Sports SUVs and supercars	Low-volume, not separately disclosed	Strong brand momentum, hybrid transition underway	No independent capital-markets currency; resourced within Audi/VW
Aston Martin	Listed (LSE: AML), Yew Tree/Saudi PIF-backed	Grand tourers and sports cars	Materially smaller volume; recurring net losses	British heritage brand, F1 team ownership	Weak balance sheet, high leverage, history of profit warnings
Bentley / Rolls-Royce Motor Cars	Volkswagen Group (Bentley) / BMW Group (Rolls-Royce)	Ultra-luxury grand tourers	Low-volume, not separately disclosed	Bespoke commissioning model comparable to Ferrari's personalization	Not independently listed; no standalone capital discipline signal
Hermes / LVMH (capital-markets comparables)	Listed (EPA: RMS / EPA: MC)	Leather goods, fashion, wines and spirits (not automotive)	EUR 16.1bn / EUR 79.6bn revenue	Even narrower supply constraint (Hermes); scale and category diversification (LVMH)	Not automotive; included for scarcity-economics and multiple comparison only

Sourced: company filings and disclosures where available (Ferrari, Aston Martin); Porsche AG and stockanalysis.com/S&P Global Market Intelligence statistics for scale and margin references; Lamborghini, Bentley and Rolls-Royce do not disclose standalone financials as they are reported within larger parent groups.

A5. Competitive Differences

Advantages. Ferrari's moat rests on four reinforcing elements. First, deliberate scarcity: management has publicly reiterated a strategy of shipping fewer cars than order-book demand would support, with the order book for current models extending toward the end of 2027 as of the FY2025 results (Sourced: CEO Benedetto Vigna, FY2025 results release, 10 February 2026). Second, personalization economics: the Tailor Made and Atelier programmes allow average selling price to rise materially faster than unit volume, evidenced by revenue growing 66.4 percent cumulatively from FY2021 to FY2025 while shipments fell slightly (13,752 units in 2021 to 13,640 in 2025 — Reasoned from company shipment disclosures). Third, racing halo and brand equity: Scuderia Ferrari's Formula 1 heritage (16 Constructors' and 15 Drivers' titles since 1950) and 2025 World Endurance Championship title generate marketing and brand value that a pure sports-car manufacturer without a top-tier racing programme cannot easily replicate. Fourth, vertical integration in engine design and manufacture, which protects intellectual property and quality control relative to peers that source powertrains from a parent group's shared platforms.

Disadvantages. The same scarcity model concentrates 84 percent of revenue in a single product category sold to a narrow, wealth-sensitive client base; a sustained downturn in global equity markets or a shock to ultra-high-net-worth wealth could compress demand with limited offsetting diversification. Geographic concentration is also a live risk: Greater China, Hong Kong and Taiwan shipments fell 19 percent year on year in FY2025 (941 units versus 1,162 in FY2024), consistent with

broader softness in Chinese luxury demand. Electrification represents a disadvantage-in-waiting: the Elettrica, Ferrari's first fully electric model, arrives in October 2026 at a price above EUR 500,000 with no second electric model planned before 2028, and management has not disclosed volume targets, leaving open the question of whether Ferrari's performance-and-emotion brand identity transfers to a battery-electric platform.

Reasoned: temporary versus structural. The order-book depth and personalization economics are structural, having persisted and strengthened across multiple product cycles and macro environments since the company's 2015 listing. The China shipment softness appears more cyclical, tied to broader Chinese luxury-spending conditions rather than a Ferrari-specific share loss. The electrification transition is a genuine open question that will only be resolved by observed Elettrica demand from late 2026.

Assessed moat: Very Strong.

Ferrari's FY2025 EBIT margin of 29.5 percent exceeds every listed automotive peer by a wide margin (Porsche AG operating margin of approximately 10.3 percent on a trailing basis) and approaches the operating profitability of the most exclusive names in global luxury goods, evidence that the scarcity model captures economic value at a rate ordinary automotive manufacturing cannot replicate.

A6. Industry Trend

The ultra-luxury sports car segment is undergoing a structural transformation around electrification while remaining a mature, low-growth-in-units category. Hybrid models — including Ferrari's own SF90 and 296 families, the Lamborghini Revuelto and the McLaren Artura — represent an estimated 34.7 percent of segment unit share and are the fastest-growing sub-category (Sourced: third-party market-research estimate). Fully electric ultra-luxury models remain nascent: the Porsche Taycan Turbo GT and the Rimac Nevera are early reference points, and Ferrari's Elettrica, arriving October 2026, will be a significant test of client acceptance for a fully electric car at this price point and brand position. Separately, US tariff policy on European auto imports has been a live cost variable through 2025-2026; Ferrari has stated it expects to substantially offset tariff costs through pricing rather than margin absorption, reflecting the same pricing power that defines its business model, though the company itself has flagged a modest (roughly 50 basis point) FY2025 margin impact from tariffs (Sourced: company guidance commentary and press reporting, cross-referenced against FY2025 results).

Reasoned: the secular trend (electrification, personalization-led ASP growth, racing-driven brand marketing) is durable and unlikely to reverse. The cyclical layer (China softness, tariff policy, currency swings) is more likely to fluctuate with macro and political conditions and should not be mistaken for a change in the structural trajectory of the business.

A7. Management

Benedetto Vigna, Chief Executive Officer (since September 2021). Vigna joined Ferrari from STMicroelectronics, where he served as President of the Analog, MEMS and Sensors Group from 2016 and had led the company's MEMS business since founding it in 1995. He holds a degree in Subnuclear Physics from the University of Pisa. His tenure has coincided with the acceleration of the personalization strategy, the FY2025 delivery of 2026 business-plan targets one year ahead of schedule, and the October 2025 Capital Markets Day at which the company set 2030 targets of approximately EUR 9.0 billion revenue and at least 40 percent EBITDA margin (Sourced: Ferrari Capital Markets Day press release, 9 October 2025).

John Elkann, Chairman (since 2018). Elkann also chairs Exor N.V., Ferrari's controlling shareholder, as well as Stellantis. He began his career at General Electric before joining the Fiat Group in 2003. His dual role as chairman of both Ferrari and its controlling shareholder concentrates governance influence within the Agnelli-Elkann family, a structure that provides strategic continuity but limits the influence of minority shareholders on major capital-allocation decisions.

Antonio Picca Piccon, Chief Financial Officer (since July 2018). Picca Piccon spent 15 years in senior finance roles within Fiat Group and Fiat Chrysler Automobiles before joining Ferrari, following an earlier career in banking with the Sanpaolo IMI group.

Reasoned: capital allocation under this management team has favoured shareholder distributions funded from a growing, largely unlevered free cash flow base rather than debt-financed expansion. The October 2025 Capital Markets Day raised the dividend payout ratio from 35 percent to 40 percent of adjusted net profit and launched a new EUR ~3.5 billion share buyback programme running from 2026 to 2030, alongside EUR ~3.5 billion of cumulative dividends from 2027 to 2031, for combined shareholder remuneration of approximately EUR 7.0 billion over the plan period (Sourced: Capital Markets Day press release). Guidance accuracy has been strong: FY2025 results exceeded the original 2026 plan's profitability targets a year early, and 2026 guidance was itself raised after the second quarter (Sourced: Q2 2026 results release, 30 July 2026). Insider ownership, concentrated in Exor and Piero Ferrari, stood at 32.3 percent as of the most recent disclosure, aligning controlling shareholders with long-term equity performance, though the loyalty-voting structure limits the influence of the broader shareholder base on governance matters.

B. Evaluation

B1. Financial and Operating Metrics

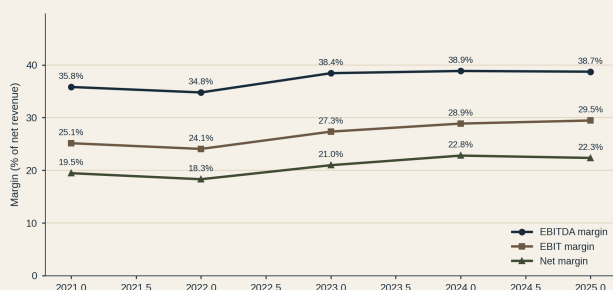
All figures in this subsection are calculated by the analyst from company-reported consolidated financial statements (Alpha Vantage aggregation of Ferrari N.V. filings, cross-checked against the FY2025 and Q2 2026 SEC Form 6-K press releases). Fiscal years ended 31 December; reporting currency EUR unless stated.

PROFITABILITY, GROWTH AND EFFICIENCY, FY2021–FY2025 (CALCULATED)

Metric	2021	2022	2023	2024	2025
Gross margin	51.3%	48.0%	49.8%	50.1%	51.7%
EBIT margin	25.1%	24.1%	27.3%	28.9%	29.5%
EBITDA margin	35.8%	34.8%	38.4%	38.9%	38.7%
Net margin	19.5%	18.3%	21.0%	22.8%	22.4%
Return on equity (period-end)	37.7%	36.0%	40.9%	43.1%	40.9%
Return on assets	12.1%	12.0%	15.5%	16.0%	16.6%
Return on invested capital	21.8%	19.9%	25.3%	24.5%	26.6%
Asset turnover	0.62x	0.66x	0.74x	0.70x	0.74x
Inventory turnover	3.85x	3.93x	3.16x	3.06x	3.10x
Receivables turnover	3.04x	2.95x	3.34x	3.20x	3.56x
Cash conversion (OCF / EBITDA)	83.9%	79.2%	74.8%	74.3%	85.0%

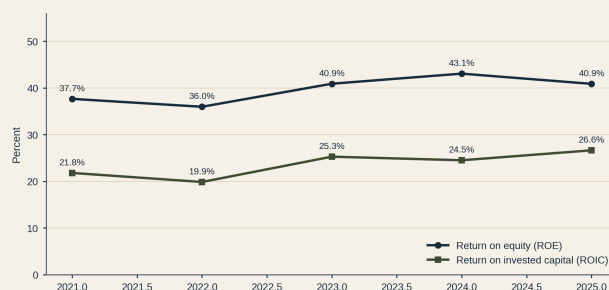
Calculated by the analyst from Alpha Vantage-aggregated consolidated income statement and balance sheet data (Ferrari N.V. filings). Return on invested capital defined as $EBIT \times (1 - \text{effective tax rate})$ divided by total debt plus shareholders' equity less cash; invested capital denominator uses Alpha Vantage's consolidated financial-liabilities classification, which is broader than the company's own non-GAAP "net industrial debt" measure and therefore renders these ROIC figures conservative.

Figure B1.1 — Margin trend, FY2021–FY2025



Calculated from Alpha Vantage-aggregated income statement data. Source: Ferrari N.V. consolidated filings.

Figure B1.2 — Return on equity and invested capital



Calculated by the analyst; see methodology note above.

Growth: revenue compounded at 13.7 percent annually from FY2021 to FY2025 despite unit shipments falling slightly over the same period, confirming that growth has been almost entirely price- and mix-driven. Diluted EPS compounded at 18.8 percent annually over the same period (EUR 4.49 in 2021 to EUR 8.96 in 2025), outpacing revenue growth on the combination of operating leverage, share buybacks, and a falling effective tax rate aided by Italy's Patent Box regime. Free cash flow compounded at 26.8 percent annually, the fastest of the four growth metrics, reflecting both margin expansion and declining capital-expenditure intensity as a share of revenue (17.3 percent of revenue in 2021 versus 13.2 percent in 2025).

Leverage: on the company's own non-GAAP measure, net industrial debt to industrial EBITDA was approximately 0.01x at 31 December 2025 (EUR 32 million of net industrial debt against EUR 2,729 million of industrial EBITDA), effectively an unlevered industrial balance sheet. Interest coverage (EBIT to interest expense) was approximately 51x in FY2025. The wider consolidated balance sheet carries EUR 1.4 billion of net debt, but this is concentrated in Ferrari Financial Services, the captive finance unit, and is backed by client and dealer receivables rather than funding core operations.

B2. Risks

STRUCTURED RISK ASSESSMENT

Category	Risk	Probability	Impact
Business	Product concentration — 84% of revenue from sports cars and spare parts sold to a narrow ultra-high-net-worth client base	Medium	High
Business	Model-changeover execution — FY2025-FY2026 phase-out of Daytona SP3, SF90 XX, 296 GT3 and Roma Spider alongside new-model ramp (12Cilindri, 849 Testarossa, Amalfi, F80, Elettrica)	Medium	Medium
Business	Key-person dependence on CEO Benedetto Vigna and Chairman John Elkann for strategic continuity	Low	Medium
Financial	Currency exposure — EUR-denominated cost base against USD, JPY and CNY-denominated revenue; FY2025 results cited a net negative currency effect	Medium	Medium
Financial	Financial-services credit risk within Ferrari Financial Services' client and dealer receivables book	Low	Low
Competitive	Electrification disruption — unproven client demand for the Elettrica (from October 2026) and the risk that battery-electric powertrains do not replicate Ferrari's performance and sound identity	Medium	High
Competitive	New entrants in electric hypercars (for example Rimac) competing for the same collector wallet	Low	Low
Technological	Execution risk in scaling next-generation platforms while sustaining racing-derived engineering differentiation	Medium	Medium
Regulatory	US tariff policy on European auto imports; EU CO2 fleet-emissions standards	Medium	Medium
Regulatory	China import duties, luxury consumption taxes and broader anti-extravagance sentiment	Medium	Medium
Macro	Sensitivity of ultra-high-net-worth discretionary spending to equity-market drawdowns and global wealth shocks	Medium	High
Valuation	Multiple compression from a trailing P/E of 40.3x and EV/EBITDA of 23.6x, near the top of the luxury-goods complex and well above automotive peers	Medium	High

THREE RISKS MOST CAPABLE OF PERMANENTLY IMPAIRING SHAREHOLDER VALUE

First, a structural failure of the Elettrica and subsequent electric models to sustain Ferrari's brand identity and pricing power, which would erode the core scarcity moat rather than merely dent one product cycle. Second, a sustained contraction in global ultra-high-net-worth wealth (equity-market drawdown, recession, geopolitical shock) that shortens the order book and forces Ferrari to choose between volume discipline and revenue growth. Third, valuation risk: at 40.3x trailing earnings, any evidence that order-book depth is normalising or that personalization-led average-selling-price growth is decelerating could trigger a disproportionate de-rating, independent of underlying business performance.

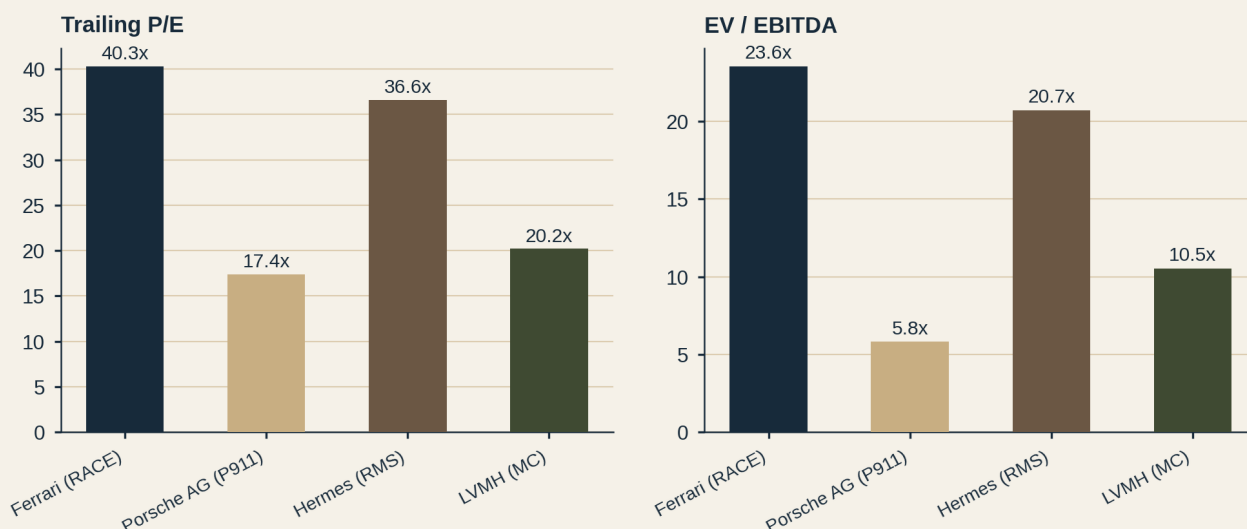
B3. Valuation

TRAILING VALUATION MULTIPLES, 21 AUGUST 2026

Metric	Ferrari (RACE)	Porsche AG (P911)	Hermes (RMS)	LVMH (MC)
Trailing P/E	40.3x	17.4x	36.6x	20.2x
Forward P/E	37.7x	23.2x	32.9x	18.4x
EV / EBITDA	23.6x	5.8x	20.7x	10.5x
Price / Sales	10.4x	1.0x	10.2x	2.7x
Price / Book	18.0x	1.6x	8.7x	3.1x
Net margin	22.4%	5.6%	28.0%	13.7%
Return on equity	40.9%	9.6%	25.5%	16.6%

Ferrari multiples: Alpha Vantage, TTM through most recent reported quarter, 21 August 2026; cross-checked by the analyst against EUR-denominated company financials converted at the EUR/USD spot rate of 1.1687 (Alpha Vantage, 24 August 2026), which produced a trailing P/E of approximately 40.1x, confirming consistency. Peer multiples: stockanalysis.com / S&P Global Market Intelligence, 21-22 August 2026.

Figure B3.1 — Peer valuation comparison



Source: Alpha Vantage (Ferrari); stockanalysis.com / S&P Global Market Intelligence (Porsche AG, Hermes, LVMH), 21-22 August 2026.

Historical valuation: Ferrari's own 52-week trading range of USD 308.95 to USD 498.74 implies a trailing P/E range of roughly 28.5x to 46.0x over the past year at constant TTM earnings, placing the current 40.3x reading in the upper half of its recent range. Peer valuation: Ferrari trades at more than double Porsche AG's EV/EBITDA and roughly 2.2x LVMH's, reflecting the market's view that Ferrari's scarcity-driven margin structure is closer to a leather-goods maison than to a mass-premium automaker; it remains modestly below Hermes on both P/E and EV/EBITDA, consistent with Hermes's even higher net margin (28.0 percent versus Ferrari's 22.4 percent) and return on invested capital (50.1 percent versus Ferrari's calculated 26.6 percent).

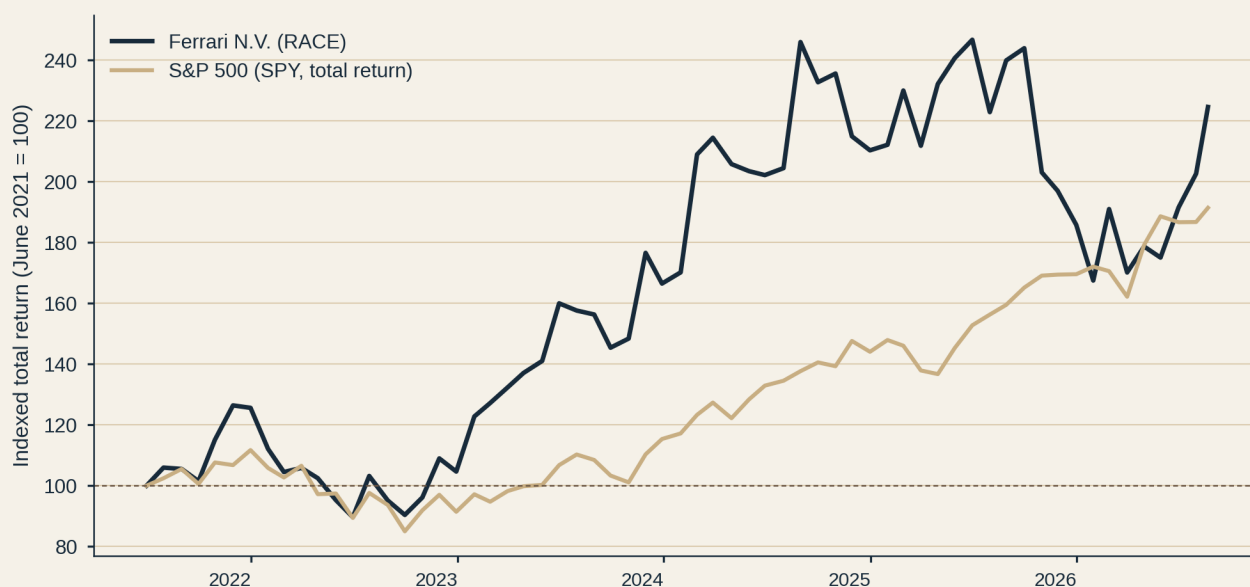
What does the current price require?

Reasoned: sustaining a 40x trailing multiple over time requires continued double-digit annual growth in personalization-driven average selling price, EBIT margin expansion toward and beyond the company's own 2030 target of at least 30 percent, and, critically, a successful electrification transition that does not dilute brand equity or force Ferrari to compete on volume. The Section C5 discounted cash flow analysis suggests that, under conventional discount-rate and terminal-growth assumptions, today's price embeds expectations that sit toward the optimistic end of what a standard cash-flow framework would support, implying the market is pricing a persistence of Ferrari's scarcity premium closer to that of Hermes than to that of a conventional industrial compounder. This should be read as Optimistic to Extremely Optimistic relative to a plain vanilla growth-company DCF, though it is broadly consistent with how the market has historically priced the very small set of listed businesses with multi-decade demonstrated pricing power in a scarce, brand-protected category.

B4. Capital Market and Stock Analysis

Period	Return
1 week (14–21 Aug 2026)	+5.2%
1 month (21 Jul–21 Aug 2026)	+18.0%
3 months (21 May–21 Aug 2026)	+24.9%
6 months (approx. 27 Feb–21 Aug 2026)	+14.9%
Year to date (31 Dec 2025–21 Aug 2026)	+18.1%
1 year (approx. Aug 2025–21 Aug 2026)	approx. –8.5%
5 years (30 Jun 2021–21 Aug 2026, dividends reinvested)	approx. +125%

Calculated by the analyst from Alpha Vantage daily, weekly and monthly adjusted close series. The one-year return reflects a decline from an elevated August 2025 base (RACE traded near USD 460-490 through much of the second half of 2025) rather than a deterioration over the most recent quarter, during which the stock has risen steadily; see Figure B4.1.

Figure B4.1 — RACE versus S&P 500, indexed total return

Indexed to 100 at 30 June 2021 (adjusted close, dividends reinvested). Source: Alpha Vantage monthly adjusted time series, RACE and SPY.

Volatility and technical structure: Ferrari's beta of 0.595 (Alpha Vantage) indicates the stock has historically moved less than the broader market on a beta-adjusted basis, consistent with a business whose demand is driven more by order-book depth and idiosyncratic brand dynamics than by macro cyclicalities, notwithstanding periods of sharp single-name volatility (the stock fell from an October 2025 high near USD 500 to below USD 400 within weeks around the Capital Markets Day and Elettrica reveal, before recovering through mid-2026). The 52-week range spans USD 308.95 to USD 498.74, a peak-to-trough drawdown of approximately 38 percent within the trailing year. As of 21 August 2026, the stock traded at USD 436.54, above both its 50-day moving average of USD 382.18 and its 200-day moving average of USD 364.49, a configuration consistent with a stock in a renewed uptrend following the 2025-2026 model-changeover correction. Trading volume on 21 August 2026 was 444,165 shares against a 20-day average materially higher earlier in the summer, and the stock has recovered essentially all of its post-Capital-Markets-Day drawdown by the report date.

Reasoned: the technical structure — a sustained recovery above both major moving averages following a correction tied to a specific, identifiable event (the Elettrica reveal and any associated uncertainty) — suggests the market has, for now, resolved that uncertainty constructively, but it should be read as a market-sentiment indicator rather than a fundamental valuation signal; the fundamental valuation questions raised in Section B3 remain independent of near-term price momentum.

C. Financial Statements

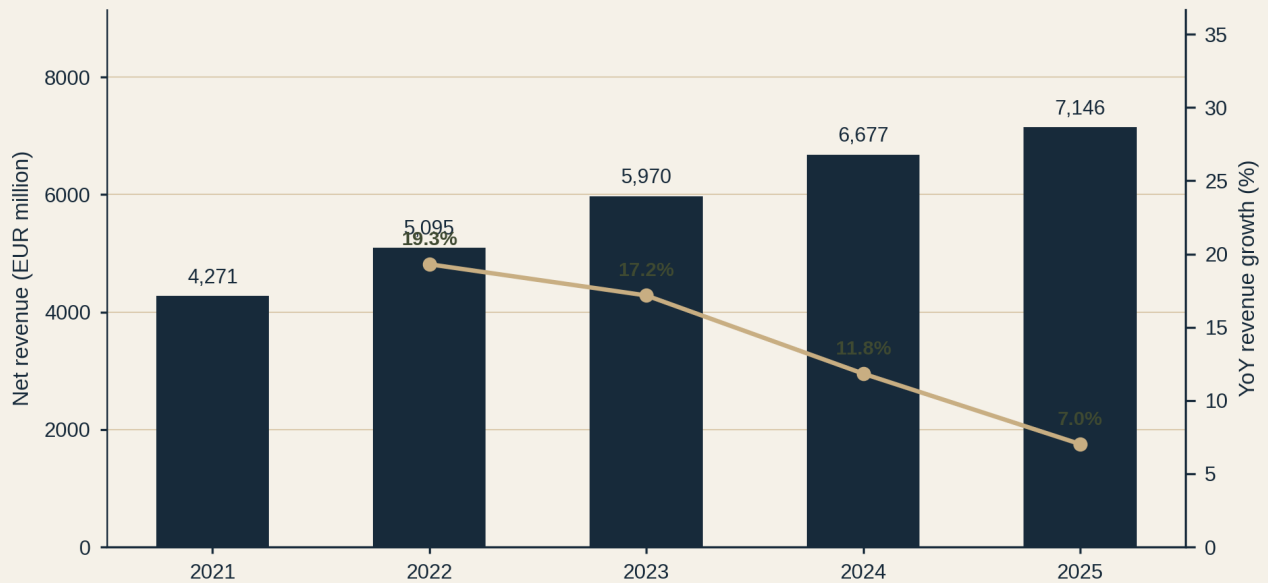
C1. Income Statement

Reported under IFRS Accounting Standards as issued by the IASB and as adopted by the European Union. All figures EUR million unless stated; reported figures as consolidated by Alpha Vantage from Ferrari N.V. filings, cross-checked against the company's FY2025 and FY2024 SEC Form 6-K press releases, which showed EBIT of EUR 2,110 million and net profit of EUR 1,600 million for FY2025 against the EUR 2,105 million and EUR 1,597 million shown below — a difference attributable to minor non-GAAP reclassification and rounding in the company's own adjusted presentation.

CONSOLIDATED INCOME STATEMENT, FY2021–FY2025 (REPORTED, EUR MILLION)

Line item	2021	2022	2023	2024	2025
Net revenue	4,270.9	5,095.3	5,970.1	6,676.7	7,145.8
Gross profit	2,190.3	2,446.3	2,974.3	3,347.2	3,692.8
Research and development	768.1	775.6	881.6	894.1	918.9
Selling, general and administrative	179.6	201.0	226.1	272.6	293.1
EBIT (operating profit)	1,073.7	1,225.8	1,632.3	1,927.5	2,104.8
EBITDA	1,529.7	1,772.0	2,294.6	2,594.3	2,766.7
Net financial expense	n/a	n/a	30.0	(1.0)	41.2
Profit before tax	1,042.2	1,177.8	1,602.4	1,889.0	2,063.6
Income tax expense	209.1	238.5	344.9	363.0	464.1
Effective tax rate	20.1%	20.3%	21.5%	19.2%	22.5%
Net profit	830.8	932.6	1,252.0	1,521.9	1,596.9
Diluted EPS (EUR)	4.49	5.09	6.89	8.46	8.96

Reported. Source: Alpha Vantage aggregation of Ferrari N.V. consolidated filings; diluted EPS per company-reported annual earnings (Alpha Vantage), matching the FY2025 and FY2024 figures disclosed in the SEC Form 6-K press releases exactly.

Figure C1.1 — Net revenue and year-on-year growth

Source: Alpha Vantage aggregation of Ferrari N.V. consolidated filings, FY2021–FY2025.

Growth drivers: FY2025's 7 percent revenue growth (8 percent at constant currency) was driven almost entirely by product mix, personalization and racing/brand income rather than volume — shipments were essentially flat at 13,640 units, down 112 units year on year. Cars and spare parts revenue grew nearly 5 percent on richer product and country mix; sponsorship, commercial and brand revenue grew 22 percent, aided by an improved 2024 Formula 1 championship finish flowing through to 2025 commercial revenue-sharing. This pattern has held across the five-year window: EBIT margin expanded from 25.1 percent in 2021 to 29.5 percent in 2025 while units were flat to down, evidence of substantial positive operating leverage from price and mix rather than volume. Margins have expanded in four of the past five years, interrupted only by a modest EBITDA-margin dip in 2022 tied to input-cost inflation industry-wide; the trend since 2023 has been one of consistent, moderate margin expansion.

C2. Balance Sheet

CONSOLIDATED BALANCE SHEET, FY2021–FY2025 (REPORTED, EUR MILLION)

Line item	2021	2022	2023	2024	2025
Cash and cash equivalents	1,344.1	1,388.9	1,122.0	1,742.2	1,467.7
Inventory	540.6	674.7	948.5	1,088.2	1,113.9
Receivables	1,404.6	1,728.3	1,789.7	2,083.6	2,005.5
Total current assets	3,363.7	3,952.5	3,986.0	5,019.9	4,824.4
Goodwill	785.2	785.2	785.2	785.2	785.2
Other intangible assets	1,138.2	1,307.4	1,419.7	1,545.7	1,638.5
Total assets	6,863.5	7,765.8	8,051.3	9,497.1	9,628.4
Total current liabilities	1,326.1	1,412.7	1,486.6	1,491.0	2,389.8
Total liabilities	4,652.1	5,163.3	4,980.7	5,953.9	5,713.6

Line item	2021	2022	2023	2024	2025
Total shareholders' equity	2,205.9	2,592.9	3,060.9	3,533.9	3,906.9

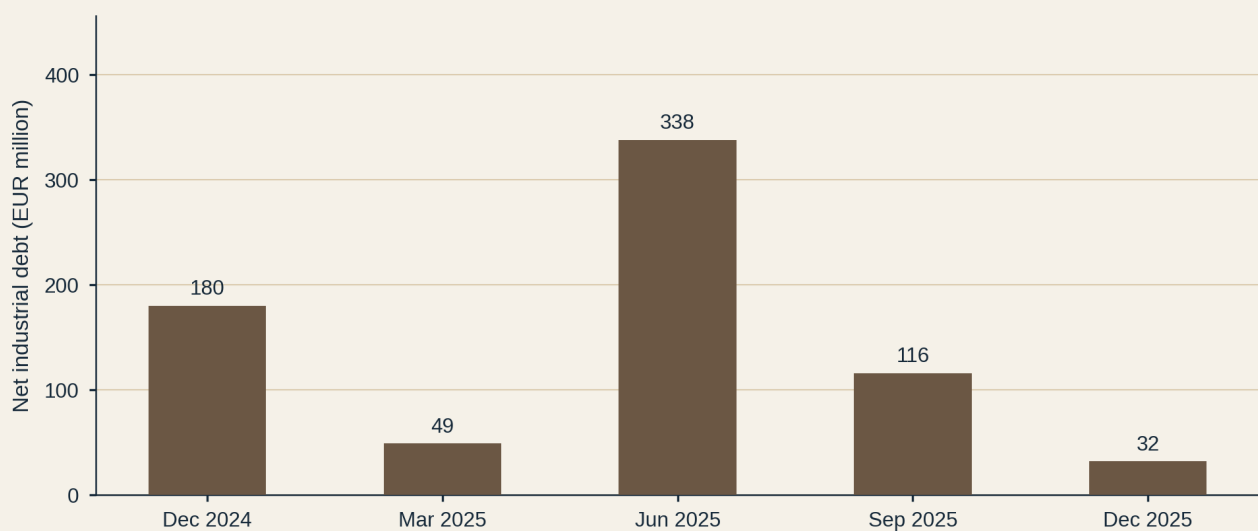
Reported. Source: Alpha Vantage aggregation of Ferrari N.V. consolidated filings. Total assets less total liabilities reconciles to total shareholders' equity within immaterial rounding in each year shown.

COMPANY-REPORTED NET INDUSTRIAL DEBT, QUARTERLY (NON-GAAP, EUR MILLION)

Metric	Dec 2024	Mar 2025	Jun 2025	Sep 2025	Dec 2025
Net industrial debt	180	49	338	116	32

Reported. Source: Ferrari N.V. FY2025 results press release, SEC Form 6-K, 10 February 2026. Net industrial debt excludes debt and cash held by Ferrari Financial Services; consolidated net debt (including financial services) was EUR 1,417 million at 31 December 2025.

Figure C2.1 — Net industrial debt, quarterly



Source: Ferrari N.V. FY2025 results press release, SEC Form 6-K, 10 February 2026.

Balance-sheet strength: Ferrari's industrial operations carry negligible net debt, and the wider consolidated balance sheet is dominated by goodwill and intangible assets (EUR 2,424 million combined at FY2025, largely stable across the period and not a source of impairment concern given the profitability of the underlying operations) and by growing inventory and receivables consistent with the higher-value personalization mix and the captive financial-services book. No red flags of excessive leverage, deteriorating working capital, or refinancing pressure are evident in the disclosed data; current liabilities roughly doubled between FY2024 and FY2025 (EUR 1,491 million to EUR 2,390 million), which merits monitoring but is consistent with growing customer deposits against the FY2025-FY2026 order book rather than a deterioration in payment terms.

C3. Cash Flow Statement

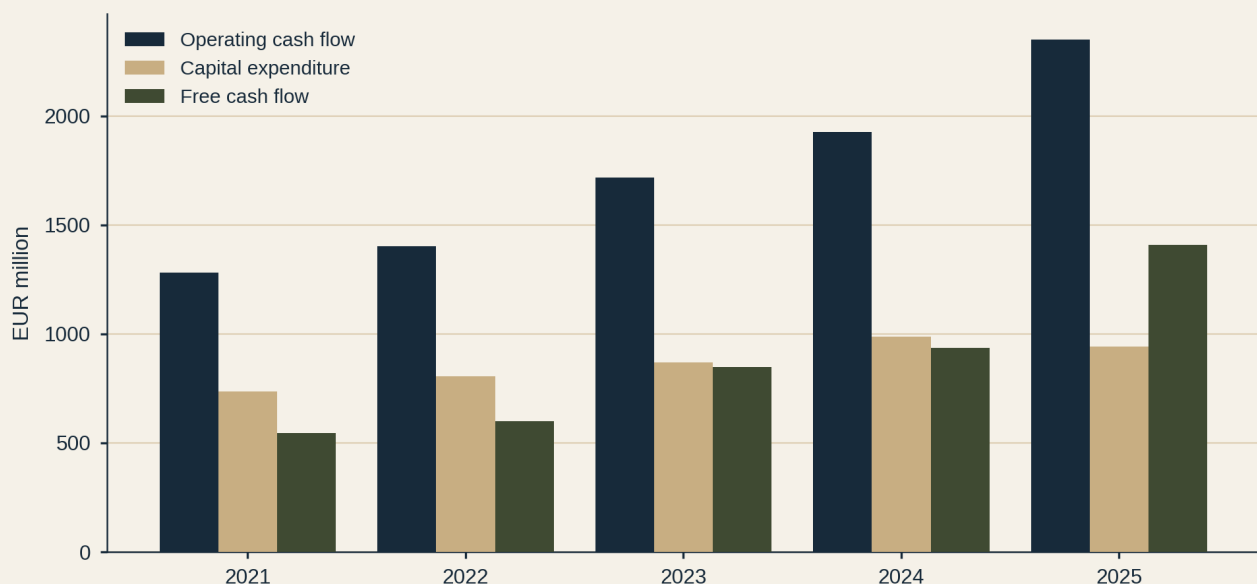
CASH FLOW SUMMARY, FY2021–FY2025 (EUR MILLION)

Line item	2021	2022	2023	2024	2025
Operating cash flow	1,282.7	1,403.3	1,716.6	1,926.7	2,352.0
Capital expenditure	737.1	804.6	868.9	989.2	943.0

Line item	2021	2022	2023	2024	2025
Free cash flow	545.6	598.7	847.7	937.5	1,409.0
Industrial free cash flow (company-defined)	n/a	n/a	n/a	1,027.0	1,538.0
FCF margin (FCF / revenue)	12.8%	11.8%	14.2%	14.0%	19.7%
Capex / revenue	17.3%	15.8%	14.6%	14.8%	13.2%
OCF / net income	1.54x	1.50x	1.37x	1.27x	1.47x

FY2021-FY2023 operating cash flow and capex: Alpha Vantage aggregation of Ferrari N.V. filings; free cash flow calculated by the analyst as operating cash flow less capital expenditure. FY2024-FY2025: company-reported figures per the FY2025 results press release (SEC Form 6-K, 10 February 2026), which also disclose the company's preferred non-GAAP measure, industrial free cash flow (free cash flow excluding the operating cash flow of Ferrari Financial Services). The analyst's FY2024 calculated free cash flow of EUR 937.5 million reconciles closely to the company's own reported EUR 938 million FY2024 free cash flow figure.

Figure C3.1 — Operating cash flow, capital expenditure and free cash flow



FY2021-FY2023: Alpha Vantage. FY2024-FY2025: Ferrari N.V. FY2025 results press release, SEC Form 6-K, 10 February 2026.

Net income versus cash generation: operating cash flow has exceeded net income in every year shown (OCF/net income ranging from 1.27x to 1.54x), indicating that reported earnings are conservatively supported by cash generation rather than inflated by non-cash items; the gap is explained by depreciation and amortization (EUR 662 million in FY2025) and by customer deposits collected in advance of vehicle delivery, a structural feature of the order-book model. Financing activities in FY2025 reflected dividends of approximately EUR 1,064 million paid in cash, alongside the start of a new EUR ~3.5 billion multi-year share buyback programme (first EUR 250 million tranche commenced 5 January 2026), funded entirely from internally generated free cash flow with no incremental debt issuance.

C4. Forecasting and Projections

Ferrari's own 2030 Strategic Plan, presented at its Capital Markets Day on 9 October 2025 (Sourced, primary source), targets net revenue of approximately EUR 9.0 billion by 2030 (a compound annual growth rate of approximately 5 percent from the FY2025 base), EBIT of at least EUR 2.75 billion at a margin of at least 30 percent, EBITDA of at least EUR 3.6 billion at a margin of at least 40 percent, adjusted diluted EPS of at least EUR 11.50, cumulative capital expenditure of approximately

EUR 4.7 billion, and cumulative industrial free cash flow of approximately EUR 8.0 billion over 2026-2030, with cash conversion improving above 50 percent. Management has explicitly stated that revenue growth to 2030 will be "largely driven by Sports cars and other car-related activities, sustained by the visibility granted by the order book," with volume "projected to positively contribute, although at a lesser extent" than mix and personalization — management's own framing confirms the price/mix-over-volume growth model that has characterised the past five years.

Reasoned: segment-level growth drivers through 2030 are likely to be, in descending order of contribution: personalization attach rate and average selling price growth within the sports-car segment; racing and brand revenue growth tied to Formula 1 competitiveness and sponsorship renewals; and a modest, controlled contribution from unit volume as new nameplates (including the Elettrica from October 2026) are introduced without abandoning the scarcity discipline. Margin expansion to the 2030 target of at least 30 percent EBIT margin (from 29.5 percent in FY2025) implies continued operating leverage on SG&A and R&D as revenue scales faster than fixed cost growth, partially offset by rising depreciation and amortization tied to new-model and electrification investment. Working capital and capex: the company's guided EUR ~4.7 billion of cumulative 2026-2030 capital expenditure implies average annual capex of approximately EUR 940 million, modestly above the FY2025 level of EUR 943 million, consistent with sustained but not accelerating investment intensity as a share of a growing revenue base.

Scenario analysis, FY2026–FY2030 (analyst-constructed, anchored to company guidance)

BASE CASE REVENUE AND MARGIN BUILD, FY2026E–FY2030E (EUR MILLION, CALCULATED)

Metric	2026E	2027E	2028E	2029E	2030E
Net revenue	7,600	8,050	8,450	8,720	9,000
EBIT margin	29.8%	30.0%	30.1%	30.3%	30.5%
EBITDA margin	39.1%	39.3%	39.4%	39.6%	39.8%
Unlevered free cash flow (analyst estimate)	1,601	1,709	1,795	1,866	1,931

Estimated / Reasoned by the analyst. Revenue path calibrated to the company's guided 2026 revenue of approximately EUR 7.60 billion (raised guidance, Q2 2026 results, 30 July 2026) and 2030 target of approximately EUR 9.0 billion; margin path calibrated to the company's 2030 targets of at least 30 percent EBIT margin and at least 40 percent EBITDA margin. Unlevered free cash flow = EBIT × (1 – 23% assumed tax rate) + depreciation and amortization (assumed at approximately 9.3% of revenue, in line with the FY2025 EBITDA-EBIT gap) – capital expenditure (calibrated to the company's guided EUR ~4.7 billion cumulative 2026-2030 capex), assuming neutral working-capital effect. This is a simplified proxy and is not identical to the company's own "industrial free cash flow" measure, which nets out financial-services cash flow and other items; the cumulative 2026-2030 total shown here (approximately EUR 8.9 billion) is broadly consistent with, and modestly above, the company's own guided cumulative industrial free cash flow of approximately EUR 8.0 billion.

Bull case: the Elettrica and subsequent electric models are well received by existing collectors and open a new, incremental client segment without cannibalizing ICE/hybrid order flow; personalization attach rates continue to rise; China demand stabilises; the 2030 targets are exceeded, with EBIT margin approaching 32 percent and revenue approaching EUR 9.5-10.0 billion. **Bear case:** the Elettrica underwhelms collectors and dilutes brand perception; a global wealth or equity-market shock compresses ultra-high-net-worth discretionary spending; China shipments continue to decline; margin expansion stalls near current levels and revenue growth slows to low single digits, well short of the 2030 targets. **Base case:** broadly in line with company guidance as tabulated above, representing the most reasonable scenario based on current order-book visibility and management's own five-year plan.

C5. Discounted Cash Flow Model

The DCF below uses the base-case unlevered free cash flow path from Section C4 (EUR 1,601 million to EUR 1,931 million, FY2026E-FY2030E), a weighted average cost of capital derived from Ferrari's low reported beta (0.595) and near-zero net industrial leverage, and a Gordon Growth terminal value. Given Ferrari's negligible net industrial debt, cost of

equity and WACC are treated as approximately equal for simplicity. Key assumptions: risk-free rate 4.2% (assumed, approximate 10-year government bond reference), equity risk premium 5.0% (assumed), cost of equity/WACC of approximately 7.2% in the central case, and a terminal growth rate of 2.5% in the central case, both varied in the sensitivity grid below. This is a valuation range exercise, not a precise intrinsic-value estimate.

DCF-IMPLIED ENTERPRISE VALUE SENSITIVITY, EUR MILLION (CALCULATED)

WACC \ Terminal growth	2.0%	2.5%	3.0%
6.5%	39,300	43,500	48,800
7.2% (central)	34,000	36,950	40,650
8.0%	29,400	31,550	34,100

Calculated by the analyst. Implied enterprise value = present value of FY2026E-FY2030E unlevered free cash flow (from Section C4) plus present value of Gordon Growth terminal value at each WACC/terminal-growth combination.

DCF-IMPLIED VALUATION RANGE VERSUS CURRENT MARKET PRICING

The resulting enterprise-value range of approximately EUR 29.4 billion to EUR 48.8 billion (equivalent to roughly EUR 165 to EUR 274, or approximately USD 193 to USD 320, per fully diluted share at the prevailing EUR/USD rate — well below the current USD 436.54 share price) sits materially below Ferrari's current industrial enterprise value of approximately EUR 65.7 billion. Reverse-engineering the assumptions required to justify the current price under this framework: holding WACC at 7.2%, the implied terminal growth rate would need to be approximately 4.8%; holding terminal growth at 2.5%, the implied WACC would need to be approximately 4.9%. Both are materially more optimistic than conventional long-run assumptions for an industrial company, though not unprecedented for the small set of listed businesses — principally in ultra-luxury goods — with multi-decade demonstrated pricing power and structurally constrained supply. This gap should be read as a description of what the market is pricing, not a judgement that the market is wrong; it is analogous to the persistent premium the market has long assigned to Hermes (36.6x trailing earnings, per Section B3) for the same underlying reason.

C6. Leveraged Buyout Model

An LBO framework is not meaningfully applicable to Ferrari at the current juncture. Exor N.V. and Piero Ferrari together control a majority of voting power through loyalty voting shares, and Exor's chairman, John Elkann, also chairs Ferrari, making a third-party change-of-control transaction highly improbable absent a decision by the controlling shareholders themselves. Ferrari's own capital structure — near-zero net industrial debt against EUR 2.77 billion of EBITDA — would in principle support substantial incremental leverage in a theoretical buyout, but the prevailing trailing EV/EBITDA of approximately 23.6x is far above levels at which a leveraged acquirer could underwrite an equity return using debt paydown and multiple stability alone; a financial sponsor would need to underwrite continued double-digit EBITDA growth even to approach conventional LBO return thresholds, effectively replicating the same optimistic assumptions embedded in the reverse-DCF exercise above. For these structural (control) and financial (valuation) reasons, this section is addressed qualitatively rather than through a quantitative returns build.

D. Investment Thesis

Bull Case

Ferrari materially outperforms current expectations if personalization-driven average selling price growth accelerates beyond the 2030 plan, the Elettrica and subsequent electric models are embraced by the existing collector base and successfully open a new client segment without diluting brand equity, racing and brand revenue continues to compound on sustained Formula 1 and endurance-racing competitiveness, and the EUR ~3.5 billion buyback programme is executed against a share price that does not re-rate meaningfully higher, providing an additional per-share earnings tailwind. Under this scenario, EBIT margin could approach 32 percent by 2030 (versus a 30 percent target) and revenue could approach EUR 9.5-10.0 billion, supporting continued multiple resilience even from today's elevated valuation.

Bear Case

The thesis weakens materially if the Elettrica underperforms client expectations or is perceived to compromise Ferrari's performance-and-emotion identity, if a global wealth or equity-market shock compresses ultra-high-net-worth discretionary spending, if Greater China shipment weakness (down 19 percent in FY2025) extends into a broader emerging-market demand slowdown, or if tariff and currency headwinds intensify beyond the roughly 50 basis point FY2025 impact already disclosed. In this scenario, revenue growth could slow to low single digits, EBIT margin could stall near current levels rather than expand toward the 2030 target, and the stock's currently rich multiple (40.3x trailing earnings) would be vulnerable to material compression independent of any deterioration in the underlying business.

Base Case

The most reasonable scenario based on current order-book visibility and management's own guidance is continued execution of the 2030 Strategic Plan: revenue compounding at approximately 5 percent annually toward EUR ~9.0 billion by 2030, EBIT margin expanding gradually toward the 30 percent target, capital expenditure held at approximately EUR 940 million annually, and shareholder remuneration of approximately EUR 7.0 billion distributed over 2026-2030 through a combination of a raised dividend payout ratio (40 percent of adjusted net profit) and the new share buyback programme, funded entirely from internally generated free cash flow without incremental leverage.

Catalysts

Near-term catalysts include the October 2026 delivery start of the Elettrica and the market's initial read on collector demand; quarterly earnings releases, particularly any commentary on order-book depth and China shipment trends; the pace of execution of the EUR ~3.5 billion share buyback programme (first EUR 250 million tranche running through mid-May 2026, per the company's periodic buyback disclosures); Formula 1 competitive results feeding into racing and sponsorship revenue; and any further 2026 guidance revisions following the pattern of the July 2026 upgrade.

Things to monitor

MONITORING LIST

Metric or event	Why it matters	Positive signal	Negative signal
Order book commentary	Direct read on the durability of the scarcity model	Order book visibility maintained or extended beyond late 2027	Order book visibility shortens toward the current model year
Elettrica initial deliveries and reception (Oct 2026 onward)	Tests brand-identity transfer to battery-electric power train	Strong collector demand, limited discounting, positive press reception	Soft demand, extended delivery timelines, negative brand commentary
Greater China shipment trend	FY2025 saw a 19% year-on-year decline	Stabilisation or recovery in China unit shipments	Continued double-digit decline
EBIT and EBITDA margin progression	Central to the 2030 plan and current valuation	Margin tracking toward or ahead of the 30%/40% 2030 targets	Margin stalling below FY2025 levels
Buyback execution pace	Primary near-term capital-return catalyst	On-schedule or accelerated tranche completion	Pauses or reductions in buyback pace
US and EU tariff and trade policy	Direct cost and pricing-power test	Costs substantially passed through via pricing with minimal margin impact	Margin impact exceeding the roughly 50 basis points seen in FY2025

E. Final Investment Framework

BUSINESS QUALITY	High. Five consecutive years of margin expansion on a scarcity-based, personalization-driven model that has proven resilient across product cycles.
FINANCIAL QUALITY	High. Industrial operations are effectively unlevered (net industrial debt of EUR 32 million against EUR 2.77 billion of EBITDA); free cash flow has consistently exceeded net income.
COMPETITIVE POSITION	Very strong. No listed automotive peer matches Ferrari's combination of order-book depth, in-house engineering and racing-derived brand equity; closest comparables for margin structure sit in luxury goods rather than autos.
MANAGEMENT	Aligned and credible. Guidance has been met or exceeded in recent years, including delivering 2026 profitability targets a year early; capital allocation favours shareholder distribution from internally generated cash rather than leverage.
INDUSTRY	Mature in unit terms, structurally transforming around electrification; Ferrari's deliberately slow, brand-protective electrification pace is a differentiated but unproven strategic choice.
VALUATION	Rich. Trailing multiples sit well above automotive peers and modestly below the most exclusive listed luxury-goods names; a base-case DCF under conventional assumptions implies material downside to current levels, indicating the market is pricing a persistent scarcity premium.
TECHNICAL AND MARKET STRUCTURE	Constructive. Price trades above both the 50-day and 200-day moving averages following a 2025-2026 correction tied to the Elettrica reveal and Capital Markets Day; low beta (0.595) relative to the broader market.
PRINCIPAL RISK	A structural failure of the electrification transition to preserve Ferrari's brand and pricing power, compounded by sensitivity of ultra-high-net-worth demand to a broader wealth or equity-market shock.
PRINCIPAL CATALYST	Client and market reception of the Elettrica from October 2026 deliveries, alongside continued execution of the EUR ~3.5 billion share buyback programme.
KEY VARIABLE	The durability of order-book depth and personalization-driven average selling price growth, which together explain nearly all of Ferrari's revenue and margin expansion since 2021 despite flat-to-declining unit shipments.
THESIS INVALIDATION	The investment thesis would become materially weaker if the order book visibility shortens materially from its current extension to late 2027, if Greater China shipment declines extend into EMEA or the Americas, if EBIT margin contracts for two consecutive quarters, or if the Elettrica and subsequent electric models fail to achieve order-book coverage comparable to Ferrari's internal-combustion and hybrid line-up within its first year of deliveries.

F. Data Table

STANDARDISED COMPANY SNAPSHOT

Category	Metric	Current (FY2025 / 21 Aug 2026)	Prior year (FY2024)	5-year trend
Market	Market capitalisation	USD 76.7bn	n/a	n/a
Market	Share price	USD 436.54	n/a	52-week range USD 308.95–498.74
Growth	Revenue growth (YoY)	7.0%	11.8%	13.7% CAGR, FY21–FY25
Profitability	Gross margin	51.7%	50.1%	Range 48.0%–51.7%
Profitability	EBIT margin	29.5%	28.9%	Expanded from 25.1% (2021)
Profitability	Net margin	22.4%	22.8%	Expanded from 19.5% (2021)
Profitability	Return on equity	40.9%	43.1%	Range 36.0%–43.1%
Profitability	Return on invested capital (calculated)	26.6%	24.5%	Range 19.9%–26.6%
Cash flow	Operating cash flow	EUR 2,352m	EUR 1,927m	Up from EUR 1,283m (2021)
Cash flow	Free cash flow	EUR 1,409m	EUR 938m	Up from EUR 546m (2021)
Leverage	Net industrial debt / EBITDA	0.01x	0.07x	Consistently below 0.15x
Valuation	Trailing P/E	40.3x	n/a	52-week implied range approx. 28.5x–46.0x
Valuation	EV / EBITDA	23.6x	n/a	n/a
Valuation	Price / FCF (calculated, EUR basis)	approx. 46.6x	n/a	n/a
Market	Beta	0.595	n/a	n/a
Market	52-week maximum drawdown	approx. 38%	n/a	Oct 2025 high to late-2025 low

Reported figures sourced to Alpha Vantage and Ferrari N.V. SEC Form 6-K filings as detailed throughout this report; figures marked "calculated" are analyst computations disclosed in the relevant section. Price/FCF calculated as EUR-equivalent market capitalisation (EUR 65,655 million) divided by FY2025 free cash flow (EUR 1,409 million).

G. Sources and Methodology

Primary Sources

Ferrari N.V.

Strong Performance in 2025 Sets the Foundation for Continued Growth in 2026 (full-year and fourth-quarter 2025 results, SEC Form 6-K exhibit)

10 February 2026 · <https://www.sec.gov/Archives/edgar/data/1648416/000164841626000018/fnvfy2025results.htm> · Used for FY2025 and FY2024 income statement, EBITDA, free cash flow, industrial free cash flow, net industrial debt, capital expenditure, shipment and segment revenue data, and 2026 guidance.

Ferrari N.V.

Ferrari Capital Markets Day Targeting New Heights (2030 Strategic Plan)

9 October 2025 · <https://www.globenewswire.com/news-release/2025/10/09/3163946/0/en/FERRARI-CAPITAL-MARKETS-DAY-TARGETING-NEW-HEIGHTS.html> · Used for 2030 revenue, EBIT, EBITDA, EPS, cumulative capital expenditure, cumulative industrial free cash flow and shareholder remuneration targets.

Ferrari N.V. (syndicated via StockTitan)

Personalizations and Mix Continue to Drive Strong Results and 2026 Guidance Raise (Q2 2026 results)

30 July 2026 · <https://www.stocktitan.net/news/RACE/personalizations-and-mix-continue-to-drive-strong-results-and-2026-ntpwhls0a0hr.html> · Used for Q2 2026 revenue, EBIT, net profit, shipments, and the raised full-year 2026 guidance.

Market Data

Alpha Vantage

Company overview, income statement, balance sheet, cash flow, earnings, global quote, daily/weekly/monthly adjusted time series, and EUR/USD exchange rate for Ferrari N.V. (RACE) and SPDR S&P 500 ETF Trust (SPY)

Data retrieved 21-24 August 2026 · <https://www.alphavantage.co/> · Used throughout Sections B, C and F for reported financial statement data (FY2021-FY2025), trailing valuation multiples, share-price history, technical levels and analyst ratings; cross-checked against the primary-source Ferrari filings above.

StockAnalysis.com (data provided by S&P Global Market Intelligence)

Statistics and valuation metrics for Dr. Ing. h.c. F. Porsche AG (P911), Hermes International (RMS) and LVMH Moët Hennessy - Louis Vuitton (MC)

Retrieved 22 August 2026 · <https://stockanalysis.com/quote/vie/P911/statistics/> ; <https://stockanalysis.com/quote/epa/RMS/statistics/> ; <https://stockanalysis.com/quote/epa/MC/statistics/> · Used for peer valuation and profitability comparison in Section B3.

Calculations

The following are calculated or reasoned by the analyst rather than directly reported, and are flagged as such at first use in the text: gross, EBIT, EBITDA and net margins; return on equity, return on assets and return on invested capital; asset, inventory and receivables turnover; cash conversion; free cash flow and free cash flow margin for FY2021-FY2023; revenue, EPS, FCF and EBITDA compound annual growth rates; the FY2026E-FY2030E scenario build in Section C4; the discounted cash flow valuation range and reverse-DCF implied assumptions in Section C5; and all EUR/USD cross-checks of Alpha Vantage-reported valuation multiples.

This report has been prepared for personal research purposes only and does not constitute investment advice, financial advice, or a recommendation to buy, sell, or hold any security. The information contained herein has been compiled with the assistance of artificial intelligence and is based on publicly available sources believed to be reliable, but its accuracy and completeness are not guaranteed. Past performance is not indicative of future results. Investors should conduct their own due diligence and consult with a qualified financial professional before making any investment decisions.